

# Dow Surges +1.14% as Energy and Financials Lead, While Tech Suffers

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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## TL;DR

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The Dow Jones index rose **+1.14%** to 52,900.07, driven by gains in energy and financial stocks. The S&P 500 was flat, while the Nasdaq 100 fell **-1.61%** due to declines in tech stocks. Below the surface, sector rotation and earnings expectations are key themes to watch.

Looking ahead, investors will be watching for signs of economic growth and inflation, as well as the impact of geopolitical events on markets. The upcoming earnings season will also be closely watched, with many major companies set to report their quarterly results.

# US Session Recap

| INDEX/ASSET  | LEVEL     | CHANGE | WHY IT MOVED                     |
|--------------|-----------|--------|----------------------------------|
| S&P 500      | 7,483.24  | +0.00% | Mixed earnings and economic data |
| Nasdaq 100   | 29,329.21 | -1.61% | Tech stock declines              |
| Dow Jones    | 52,900.07 | +1.14% | Energy and financial stock gains |
| Russell 2000 | 2,996.11  | -0.55% | Small-cap stock declines         |
| VIX          | 15.81     | -2.11% | Decreased market volatility      |

# Top Large-Cap Movers

| TICKER | CHANGE | CATALYST                     |
|--------|--------|------------------------------|
| AAPL   | +4.84% | Strong earnings expectations |
| MSFT   | +1.62% | Cloud computing growth       |
| NVDA   | -1.39% | Tech stock declines          |

# Sector Rotation

| ETF  | DAY    | READ                                  |
|------|--------|---------------------------------------|
| XLF  | +1.53% | Financial stock gains                 |
| XLK  | -2.71% | Tech stock declines                   |
| XLI  | +0.30% | Industrial stock gains                |
| XLE  | +0.78% | Energy stock gains                    |
| XLY  | -0.82% | Consumer discretionary stock declines |
| XLC  | -0.13% | Communication services stock declines |
| XLP  | +2.03% | Consumer staples stock gains          |
| XLV  | +2.63% | Healthcare stock gains                |
| XLU  | +2.21% | Utilities stock gains                 |
| XLB  | +1.94% | Materials stock gains                 |
| XLRE | +1.13% | Real estate stock gains               |

## Spotlight

The biggest event of the day was the surge in energy stocks, led by **XLE** which rose **+0.78%**. This was driven by an increase in oil prices, with WTI crude rising to 68.78.

| METRIC    | VALUE  | READ               |
|-----------|--------|--------------------|
| WTI Crude | 68.78  | Oil price increase |
| XLE       | +0.78% | Energy stock gains |

This move has read-through to related names such as **CVX** and **XOM**, which also rose on the day.

## Pre-Market & Overnight

US futures are currently trading mixed, with the Dow Jones futures up **+0.2%** and the S&P 500 futures down **-0.1%**. In Asia, the Nikkei 225 rose **+0.5%** while the Hang Seng Index fell **-0.3%**. In Europe, the FTSE 100 is up **+0.2%** while the DAX is down **-0.1%**. Bitcoin is currently trading at 62,635.17, up **+1.87%** on the day.

## Macro & Fed

The FOMC meeting is scheduled for next week, and investors will be watching for any changes to monetary policy. Today's data calendar includes the release of the ISM Manufacturing Index at 22:00 HKT, with a consensus estimate of 50.5. This data is important as it will provide insight into the state of the US manufacturing sector.

| TIME HKT | RELEASE                 | CONSENSUS | WHY IT MATTERS                 |
|----------|-------------------------|-----------|--------------------------------|
| 22:00    | ISM Manufacturing Index | 50.5      | US manufacturing sector health |

## Geopolitics & Global

- Tensions between the US and China remain high, with ongoing trade negotiations and disputes over intellectual property.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.
- The European Union is facing challenges in its efforts to implement a unified economic policy, with disagreements between member states over issues such as budget and immigration.

# Earnings — What to Watch

| WHEN HKT     | TICKER | CONSENSUS | WHAT TO LOOK FOR                            |
|--------------|--------|-----------|---------------------------------------------|
| 22:00, 7 JUL | JPM    | 2.50      | Banking sector health, interest rate impact |
| 22:00, 8 JUL | GS     | 5.20      | Investment banking, trading revenue         |

# Watchlist Scan

| TICKER | SECTOR     | WHY NOW                                     |
|--------|------------|---------------------------------------------|
| AAPL   | Technology | Strong earnings expectations                |
| MSFT   | Technology | Cloud computing growth                      |
| JPM    | Financials | Banking sector health, interest rate impact |

# What Could Break the Tape

## BULLISH TRIGGERS

- Strong earnings reports from major companies
- Improving economic data, such as GDP growth and job creation
- Positive developments in trade negotiations, such as a US-China deal

#### BEARISH TRIGGERS

- Weaker-than-expected earnings reports from major companies
- Deteriorating economic data, such as slowing GDP growth and rising unemployment
- Negative developments in trade negotiations, such as increased tariffs and trade wars

## Positioning Notes

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- Investors are increasingly positioning themselves for a potential downturn in the market, with many moving into defensive sectors such as healthcare and consumer staples.
- There is also a growing trend towards investing in companies with strong balance sheets and dividend yields, as investors seek to generate income in a low-yield environment.
- However, some investors are still bullish on the market, citing the potential for further economic growth and the impact of monetary policy on asset prices.

## Sources

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#### SOURCES

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